COURSE

IB Diploma Programme Business management HL

Market share and segmentation

Unit 4: Marketing · 4.1 Introduction to marketing; 4.2 Marketing planning

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class	Topic
IB Diploma Programme Business management HL	**Market share and segmentation**

THE LESSON

Setup					2 min
Round 1					Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions	**Deals**	TASK 1 **Segment revenue**	TASK 2 **High share benefits**		
Round 2					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Firm decisions	**Deals**	TASK 3 **Rank market growth**	TASK 4 **Segment next year**	**B2B deal**	
Round 3					Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Firm decisions	**Deals**	TASK 5 **Did we do well?**	TASK 6 **Cars to hit target**	**B2B deal**	
Final questions					3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Revenue in one segment.

Dealer’s revenue from this segment?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Town’s car sales, a year	**£850,000**
First-time buyers, % of sales	**30%**
Dealer’s share of them	**20%**

METHOD

Revenue = town sales × segment % × dealer’s share

30% × £850,000 = £255,000; × 20% = £51,000

Why: The segment is worth £255,000. The dealer takes 20% of it.

Task 2

ROUND 1

A higher market share is your main marketing objective.

Which two are benefits of a high share?

PICK TWO

- ✔ **Buyers see you as the leader**
- ○ Higher profit is certain
- ○ Less need to control costs
- ✔ **More buying power with suppliers**
- ○ The market grows faster

Why: A leader buys better and is trusted, but share does not guarantee profit.

Task 3

ROUND 2

Three markets, sales last year and this year.

Order by market growth, fastest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **2,000 to 2,300 cars**
2. **8,000 to 8,800 cars**
3. **20,000 to 21,000 cars**

Why: Growth: 15%, 10%, 5%. The most extra cars is the slowest growth.

Task 4

ROUND 2

A growing segment.

Dealer's revenue from it next year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Town's car sales, a year	**£500,000**
First-time buyers, % of sales	**20%**
Segment grows by	**5%**
Dealer's share of segment	**10%**

METHOD

Revenue = town sales × segment % × growth × dealer's share

20% × £500,000 = £100,000; + 5% = £105,000; × 10% = £10,500

Why: Find the segment, grow it, then take the dealer's share.

Task 5

ROUND 3

Your sales rose 10% this year. The market rose 20%.

Did your firm do well, and why?

PICK A OR B AND GIVE A REASON

- ✔ **No**
- ○ Yes

Why: Your share fell: rivals took more of the growth than you.

Task 6

ROUND 3

Win a bigger share.

Extra cars needed next year to hit the target?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Town sales this year	**550 cars**
The market grows by	**20%**
Dealer's sales this year	**44 cars**
Target share next year	**10%**

METHOD

Extra cars = target share × market next year − sales this year

550 + 20% = 660; 10% × 660 = 66; 66 − 44 = 22

Why: The target is a share of next year's bigger market.

Final questions

6
questions for each pupil

109
Level 3 Business questions

14
of them on market share and segmentation

The game draws 6 questions on this topic.

1 A service-plan provider targets small delivery firms whose vans each travel more than 30,000 miles a year. Which bases of segmentation are being combined?
Business size and usage rate.

2 A dealership sold 420 of the 6,000 vans sold in its regional market. What was its unit market share?
7%.

3 Annual sales in a used-EV market rose from 48,000 to 60,000 units. What was the market growth rate?
25%.

4 Owners of cars over eight years old respond strongly to fixed-price repair bundles. Which targeting rule uses the evidence most directly?
Target owners of 8+ year-old cars.

5 A town has many small MOT centres, customers can compare prices easily and no centre controls supply. Which market feature is most evident?
A competitive market.

6 Registrations for used electric cars rise from 8,000 to 10,400 in a region. What is the percentage market growth?
30%.

7 Research finds commuters driving 40–70 miles a day with no home charging. Which proposition fits this segment best?
A hybrid offer with charging advice.

Final questions

8 A price-comparison platform makes dealer prices easier to observe. What competitive effect is most plausible?

Price pressure on similar dealers.

9 A regional dealer sells 1,350 vehicles in a market of 18,000. What is its unit market share?

7.5%.

10 The Sales lead has separate evidence for one-van sole traders and 200-plus vehicle national fleets. Why question one identical proposal?

Their needs and buying power differ.

11 Regional used EV registrations rise from 1,800 to 2,340 a year. What is the market growth rate?

30%.

12 A dealer has identified family, taxi and delivery segments. It now advertises only to delivery firms. What has it done?

Targeted one segment of the market.

13 5,600 vans are sold in a region in a year, and one dealer group sells 728. What is its market share?

13%.

14 A dealer's van sales rise from 300 to 345 while the regional market grows from 2,000 to 3,000. What happened to its market share?

Share fell from 15% to 11.5%: rivals won more new demand.